

Accounting Quiz 1

1. What is the primary purpose of accounting?
 - a. To entertain investors
 - b. To record and report financial information
 - c. To hire employees
 - d. To advertise products
2. Which financial statement shows a company's assets, liabilities, and equity?
 - a. Income Statement
 - b. Cash Flow Statement
 - c. Balance Sheet
 - d. Trial Balance
3. Assets are:
 - a. Amounts owed by the business
 - b. Resources owned by the business
 - c. Owner withdrawals
 - d. Business expenses
4. Liabilities refer to:
 - a. Owner's investments
 - b. Income earned
 - c. Debts owed by the business
 - d. Office supplies
5. The accounting equation is:
 - a. $\text{Assets} = \text{Liabilities} - \text{Owner's Equity}$
 - b. $\text{Assets} + \text{Liabilities} = \text{Equity}$
 - c. $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$
 - d. $\text{Revenue} = \text{Expenses} + \text{Profit}$
6. Which of the following is an asset account?
 - a. Accounts Payable
 - b. Service Revenue
 - c. Cash
 - d. Utilities Expense
7. Which account is increased by a credit?
 - a. Expenses
 - b. Assets
 - c. Withdrawals
 - d. Liabilities
8. Revenue accounts normally have a:
 - a. Debit balance
 - b. Credit balance
 - c. Zero balance
 - d. Negative balance
9. Which book is used for the initial recording of transactions?
 - a. Ledger
 - b. Journal
 - c. Worksheet
 - d. Trial Balance
10. What is a debit?
 - a. Left side of an account
 - b. Right side of an account
 - c. Profit earned
 - d. Cash received
11. Which account is affected when a business buys supplies for cash?
 - a. Supplies and Cash
 - b. Supplies and Revenue
 - c. Cash and Capital
 - d. Expenses and Revenue
12. Accounts Receivable is classified as:
 - a. Liability
 - b. Expense
 - c. Asset
 - d. Revenue
13. What does GAAP stand for?
 - a. Generally Accepted Accounting Principles
 - b. General Accounting and Auditing Procedures
 - c. Government Approved Accounting Policies
 - d. Global Accounting Application Program
14. Which financial statement reports revenues and expenses?
 - a. Balance Sheet
 - b. Income Statement
 - c. Statement of Owner's Equity
 - d. Bank Statement
15. A business pays rent in cash. Which account is debited?
 - a. Cash
 - b. Rent Expense
 - c. Accounts Payable
 - d. Capital
16. Which account type normally carries a debit balance?
 - a. Revenue
 - b. Liability
 - c. Expense
 - d. Capital
17. Owner's Equity represents:
 - a. Amount owed to suppliers
 - b. Owner's claim on business assets
 - c. Total cash available
 - d. Business income only
18. Which of the following is a current liability?
 - a. Equipment
 - b. Accounts Payable

- c. Land
 - d. Furniture
19. The trial balance is used to:
- a. Prepare advertisements
 - b. Check equality of debits and credits
 - c. Compute taxes only
 - d. Record daily transactions
20. When cash is received from customers, Cash is:
- a. Credited
 - b. Debited
 - c. Closed
 - d. Removed
21. Expenses decrease:
- a. Assets only
 - b. Liabilities
 - c. Owner's Equity
 - d. Revenue
22. Which account is NOT an asset?
- a. Cash
 - b. Equipment
 - c. Accounts Payable
 - d. Supplies
23. A business transaction must involve:
- a. One account only
 - b. At least two accounts
 - c. Three journals
 - d. No money involved
24. What is the normal balance of Cash?
- a. Debit
 - b. Credit
 - c. Zero
 - d. Negative
25. Which of the following is an example of revenue?
- a. Salaries Expense
 - b. Service Revenue
 - c. Utilities Expense
 - d. Accounts Payable